MEASURE "H" - CITY OF INDIAN WELLS

FULL TEXT BALLOT PROPOSITION
CITY OF INDIAN WELLS
MEASURE ELECTION NOVEMBER 3, 2026

AN ORDINANCE AMENDING SECTION 3.14.040 OF THE INDIAN WELLS MUNICIPAL CODE TO UPDATE AND CLARIFY THE RULES FOR EXEMPTIONS FROM THE CITY'S ADMISSIONS TAX

NOW THEREFORE, THE PEOPLE OF THE CITY OF INDIAN WELLS DO ORDAIN AS FOLLOWS:

SECTION 1. Subject to the approval of a majority of the voters of the City of Indian Wells at the scheduled election so designated by the City Council in a separate resolution placing this proposal on the ballot for such election, Section 3.14.040 of Chapter 3.14 of Title 3 of the Indian Wells Municipal Code is hereby amended to read as follows:

"**Chapter 3.14 ADMISSIONS TAX**

. . . .

§ 3.14.040 **Exemptions.**

An applicant seeking an exemption from the admissions tax imposed by this Chapter shall file with the Director an application for Director review and evaluation. An organization seeking an exemption must demonstrate that it is in good standing and, if applicable, that it is currently exempt from Federal taxation as outlined below. The Director may require such information in the application for the certificate of exemption, or in addition hereto, as will enable the Director to determine whether the admission charge for which the exemption is sought is eligible therefor

The following admission charges shall be exempt:

(a) Admission charges for events that are conducted only by the following organizations:

(1) Federal, state, and local governmental agencies, and membership organizations whose members are federal, state, or local governmental agencies, such as the League of California Cities, California State Association of Counties;

(2) Organizations organized and operated exclusively for charitable, religious, scientific, literary, or educational purposes and that have been determined by the United States Internal Revenue Service to be exempt from federal taxation under Section 501(c)(3) of the Internal Revenue Code.

(3) Political organizations that are exempt from federal taxation under Section 527 of the Internal Revenue Code;

(b) Admission charges paid by event sponsors. 'Event sponsors' means persons who contribute goods, services or money towards the event and who in return: receive a non-exclusive license to use the event logo in conjunction with that persons own name or products; or who receive the right to name recognition as an official sponsor in the venue where the event is held; or receive the right to identify itself as an official sponsor of the event in advertising and promotional materials; or who are identified by the event operator in promotional materials as a sponsor if approved by the Director. Prior to the event the operator shall submit to the Director a list of all sponsors. The list must be approved by the Director to receive an exemption.

(c) Admission charges for an event at a legally established and operating hotel in the City."

IMPARTIAL ANALYSIS OF MEASURE "H"

Background:

In 2005, Indian Wells voters approved a City ballot measure, which is commonly referred to as "Measure H". Measure H enacted a City general admissions tax at a maximum rate of 10 percent (10%) on the admission charge to an event, as defined in Measure H. Measure H currently includes tax exemptions for the following:

- Admission charges for events by bona fide non-profit organizations such as country clubs, social clubs, tennis clubs, governmental entities and schools; and
- Admission charges paid by "event sponsors", as defined in Measure H.

This Measure:

On July 2, 2026, the City Council placed Measure "H" on the November 3, 2026, General Municipal Election ballot. The purpose of Measure "H" is to update the Municipal Code by amending and clarifying the types of admissions charges exempted from the City's admissions tax. Measure "H" provides that admissions charges for events conducted by the following entities shall be tax exempt:

- Organizations organized and operated exclusively for charitable, religious, scientific, literary, or educational purposes and that have been determined by the United States Internal Revenue Service to be exempt from federal taxation under Section 501(c)(3) of the Internal Revenue Code;
- Federal, state, and local governmental agencies, and membership organizations whose members are federal, state, or local governmental agencies, such as the League of California Cities, California State Association of Counties; and
- Political organizations that are exempt from federal taxation under Section 527 of the Internal Revenue Code.

Measure "H" further provides that admissions charges for events held at a legally established and operating hotel in the City will be exempt from the admissions tax.

Measure "H" does not alter the current exemption for admission charges paid by "event sponsors" under Measure H, and that exemption from the tax would remain in effect.

Measure "H" makes other clarifying amendments to the application process, such as requiring organizations seeking an admissions tax exemption to demonstrate to the City's Director of Finance that they are in good standing.

Measure H requires any amendments to be approved by a majority of Indian Wells voters and that is why Measure "H" is on the November 3, 2026, General Municipal Election ballot.

A "yes" vote on Measure " H " will approve the amended exemptions identified above.

A "no" vote on Measure " H" will not approve the amended exemptions identified above.

The above statement is an impartial analysis of Measure "H". If you desire a copy of the Measure, please call Angelica Avila, the City's elections official at (760) 346-2489 and a copy will be mailed at no cost to you.

/s/ TODD LEISHMAN
City Attorney

ARGUMENT IN FAVOR OF MEASURE "H"

Currently, the city's Admission Tax Ordinance does not specifically exempt those who attend charitable, religious, or political events, or events held at our hotels, from paying the tax. Measure H fixes that problem.

The city's Admission Tax is paid by residents and guests who purchase tickets to events in Indian Wells. It was never intended to apply to those attending charitable, religious, or political events, or to events held at our hotels, which is why your City Council unamiously voted to clarify the issue by placing Measure H on the ballot.

You can read the full text of Measure H in this ballot pamphlet. You can also learn more about Measure H on the city's website at www.indianwells.com.

We urge you to vote yes on Measure H to clarify this issue and support our local charitable, religious or political organizations and those residents and guests who purchase tickets to their events.

By: Greg Sanders,
Indian Wells City Councilmember

Bruce Bahneman,
Former Indian Wells Planning Commission Chair

Diane Bielen,
Indian Wells Businesswoman

Donald Morgan,
Indian Wells Resident

Dana Reed,
Indian Wells City Councilmember

NO ARGUMENT FILED AGAINST MEASURE "H"